

Module - 2 - International Financial Reporting Standards (IFRS) and Ind AS.

Introduction:

Accounting Standards are written policy documents issued by expert accounting body or by the government or other regulatory body covering the aspects of ^{to Identity} recognition, measurement, treatment, presentation and disclosure of accounting transactions in financial statements.

Implementation of Ind AS began in 2016.

Accounting Standards are essential guidelines are that governance financial reporting and ensure consistency, transparency, and comparability across businesses.

In India, the Institute of Chartered Accountants of India (ICAI) issues accounting standards while Indian Accounting Standards (INDAS) are aligned with international standards called as IFRS.

Need for INDAS:

- 1) Global ^{To combine} integration.
- 2) Transparency and reliability.
- 3) Investor Confidence.
- 4) ^{International} Cross border transactions.
- 5) Regulatory alignment.

(Indian regulators such as SEBI and RBI)

It ensure that Companies follow a common reporting System.

Objectives of Ind AS:

1) Uniformity (Similarity).

2) Comparability.

(Comparison of Indian Companies with international firms).

3) Transparency.

(Companies must disclose accounting policies and assumptions).

4) Investor protection.

5) Corporate Governance.

6) Decision Support.

(It is ^{Important} Critical in today's ^{Keeps on Changing} volatile global ^{Distribution} economy, where accurate information drives capital allocation).

* Convergence with IFRS:

What do you mean by Convergence with IFRS?

→ Convergence with IFRS means bringing Indian Accounting Standards close to International Financial Reporting standards, while making some changes to suit India's laws, business environment and economy.

India has converged with IFRS but has not fully adopted IFRS.

* Difference between Adoption and Convergence:

- 1) Adoption :- A Country follows IFRS exactly without making any changes.
- 2) Convergence :- A Country follows with a few modifications to suit local requirements. Similarly, India follows IFRS with some modifications. These modified standards are called as Indian Accounting Standards.

What are Carve-outs in Indian Accounting Standards?

→ Carve-outs are changes or exceptions made to IFRS while preparing Ind AS so that the standards suits Indian Companies.

The government of India, along with ICAI decided to make these changes after discussing with different stakeholders.

• Examples of Carve-outs.:

- 1) 'Statement of Profit and loss' is used in place of 'Statements of Comprehensive Income (OCI)'.
- 2) 'Balance Sheet' is used in place of 'Statement of Financial Position'.

Certain changes were made considering the economic environment of the country and making it suitable for Indian laws and business practices.

* Needs and objectives for Convergence with IFRs.

1. Fund ^{helps in} raising from International Markets.
2. Facilitates Comparability.
3. Uniformity
4. Transparency and Investor Confidence.
5. Regulatory alignment.
6. Economic and business ~~reality~~ realities.

* Generally Accepted Accounting Principles in India (GAAP):

Meaning :- GAAP is a set of accounting rules and principles that Companies follow while preparing their financial statements.

It ensures that financial reports are uniform (same format), transparent, reliable, and comparable.

In India, GAAP includes Accounting Standards and Indian Accounting Standard (IndAS). Ministry of Corporate Affairs (MCA) issues accounting Standard with the help of ICAI, SEBI, NFA, RBI, IRDAI.

Indian GAAP is based on:

1. Accounting Standards (AS) : Used mainly by smaller Companies.

2. Indian Accounting Standards (Ind AS) :
Used by large Companies and is based on IFRS.
3. Companies Act, 2013 : Provides the format for
Presenting financial statement (Schedule III).
4. Guidelines of SEBI, RBI, IRDAI :
Special rules for Companies regulated by this
authorities. (Such as banks and Insurance Companies).

* Fundamental Principles of Indian GAAP :

1. Entity Concept : A business is treated as
"Separate" from its owner.

For example :- If the owner pays the electricity bill of his house, it is not recorded in the Company's accounts.

2. Going Concern Concept : It is assumed that
business will continue for many years.

For example :- A Company buys Machinery expecting to use it for the next 10 years.

3. Consistency : The same accounting method should
be used every year.

For example :- If depreciation is calculated using the
Straight line method this year, the same method
should ~~be~~ be used next year, unless there is a
valid reason to change it.

4. Accrual basis : Income and Expenses are recorded when they are earned or incurred, Not when Cash is received or paid.

For example :- Salary for March is recorded in march even if it is Paid in April.

5. Prudence (Conservatism) : Record expected losses but not expected profits.

For example :- If there is a possibility that a ~~Customer~~ Customer will not pay ₹ 10,000, the Company should make a provision for the loss.

6. Materiality : Important ^{information} must be shown separately. Small or unimportant items can be grouped together.

For example :- Purchase of machinery worth ₹ 10 lakhs is shown separately but office stationery worth ₹ 500 can be included under office expenses.

7. Substance over form :- Record transaction according to their real economic meaning, not just their legal form.

For example :- If a Company controls an asset through a finance lease it is treated as the Company's asset even if its legal ownership is not yet been transferred.

8. Matching Concept : Expenses should match with the income they help generate.

For example :- Commission Paid to sell goods is recorded in the same period in which sales income is recorded.

9. Full disclosure : All important financial information should be disclosed.

For example :- If the company has a court case against it, this information should be disclosed in the financial statements.

10. Dual aspects : Every transaction has two effects (Debit and Credit).

For example :- A company purchases furniture for cash.

Furniture A/c — Dr.
 To Cash A/c

* The following Framework is in practice at present.

1. Small and medium enterprises :
follow accounting standards issued by ~~IAS~~
ICAI.

2. Large listed companies :
follow IndAS which are based on IFRS.

3. Banks and Insurances Company : follow Ind AS with additional rules issued by RBI and IRDAI.

* Presentation of financial Statement

The presentation is Governed by Shcheduled III of Companies Act, 2013.

- d. Accounting Standards, Their Applicability, Interpretation, Scope^{and} Compliance in India.

Meaning : Accounting Standards (AS) are rules for preparing Financial Statements. They ensures that accounts are prepared in a uniform, reliable and transparent manner.

The Accounting Standard Board (ASB) of ICAI Prepares the Accounting Standards.

They are approved by the Ministry of Corporate Affairs (MCA).

Once notified by the MCA, Companies must follow this Standards.

Where are Accounting Standards applicable ?

→ They applied to businessess engaged in Commerical, Industrial or business activities. They do not

applied to purely non business activities such as collecting donation for charity.

Responsibility for Compliance:

Management is responsible for preparing financial statements according to Accounting Standards. Auditors check whether the financial statements comply with this standards.

Companies Act, 2013:

Section 129 (1) required Companies to prepare financial statements according to Accounting Standards.

Section 143 (3) (e) requires auditors to report whether the company has followed the Accounting Standards.

If a company do not follow Accounting Standards, It must explain ① why it did not comply and ② what effect did non-compliance as on the financial statements.

Materiality:

Accounting standards apply only to material items.

For example :- ₹ 50 lakhs error in inventory is material and must be disclose.

₹ 50 stationery error is generally not material.

Revised Classification of Non Company ~~Entity~~ Entities (Effective from 1st April, 2024).

ICAI has ~~divided~~ divided Non-Company Entities into only two Categories:

A. MSMEs (Micro, Small and Medium Size enterprises)

An entity is a MSME if :

1. It Shares or Debentures are not listed.
2. It is not a bank, financial institution, or insurance Company.
3. Annual turnover is ₹ 250 Crore or less.
4. Borrowing are ₹ 250 Crore or less.
5. It is not a holding or Subsidiary of a large entity.

Benefit :

MSMEs get exemptions from some accounting Standards.

B. Large Entities :

Any Non-Company entity that does not qualify as an MSME is a large entity. ~~most~~ Large entities must follow all Accounting Standards.

Exemptions available to MSMEs.

Accounting Standard.	Large Entities	MSMEs
AS 3 - Cash Flow Statement	Mandatory	Exempt
AS 17 - Segment Reporting	Mandatory	Exempt.
AS 20 - Earnings Per Share (EPS)	Mandatory	Exempt.
AS 24 - Discontinuing operations	Mandatory	Exempt.
AS 25 - Interim Financial Reporting	Mandatory.	Exempt.

* List of important Accounting Standards (As).

1. AS 1 - Disclosure of Accounting Policies.
2. AS 2 - Valuation of Inventories.
3. AS 3 - Cash Flow Statements.
4. AS 4 - Contingencies and Events ~~occurring~~ occurring after the balance sheet date.
5. AS 5 - Net Profit or Loss, Prior period, items and Changes in Accounting Policies.
6. AS 7 - Construction Contracts.
7. AS 9 - Revenue Recognition.
8. AS 10 - Property, Plant and Equipment.
9. AS 11 - Effects of Changes in foreign exchange rates.
10. AS 12 - Government brands.

- AS 13 - Accounting for Investments.
- AS 14 - Accounting for Amalgamations.
- AS 15 - Employee Benefits.
- AS 16 - Borrowing Costs.
- AS 17 - Segment Reporting.
- AS 18 - Related Party Disclosures.
- AS 19 - Leases.
- AS 20 - Earnings Per Share (EPS).
- AS 21 - Consolidated Financial Statements.
- AS 22 - Accounting for taxes on Income.
- AS 23 - Accounting for Investments in Associates.
- AS 24 - Discontinuing operations.
- AS 25 - Interim Financial Reporting.
- AS 26 - Intangible Assets.
- AS 27 - Financial Reporting of Interests in Joint Ventures.
- AS 28 - Impairment of Assets.
- AS 29 - Provisions, Contingent Liabilities and Contingent Assets.

* Applicability of Accounting Standards to Large Entities.

It is required to comply full with all the accounting standards.

* Accounting Standards not applicable to MSMEs in their entirety under ICAI 2024 revised framework.

These are the disclosure heavy standards from which MSMEs are exempt:

AS 3, AS 17, AS 20, AS 24 and AS 25.

8. Introduction to IFRS:

IFRS are Accounting Standards that are issued by the international accounting standards boards. (IASB) in 2001.

Objectives of IFRS are :

- 1) Standardizing the accounting principles and practices.
- 2) Enhancing uniformity and transparency.

Meaning of IFRS :

IFRS are internationally accepted accounting Standards issued by IASB to ensure transparency, Comparability and Consistency in financial reporting.

Scope of IFRS.

- IFRS covers:

- 1) Recognition. (When to record transactions).
- 2) Measurement. (How to calculate amount).
- 3) Presentation. (How to show them in financial statements).
- 4) Disclosure. (What information should be revealed).

Adoption of IFRS :

IFRS has been adopted by more than 169 Countries.

For example : European union, Australia, united Kingdom, and many Asian Countries.

India's Position :

India has not adopted IFRS Completely.

Instead, India Uses Ind AS - which is based on IFRS but modified ~~according~~ according to Indian laws and business conditions.

Importance of IFRS.

- 1) Improve Comparison between Companies across Countries.
- 2) Increases investors Confidence.
- 3) Helps Companies raise money from international markets.

IFRS Standards.

IASB has issued many IFRS Standards such as:

- 1) IFRS 1 - First-time Adoption of IFRS.
- 2) IFRS 2 - Share-based Payment.
- 3) IFRS 3 - Business Combinations.
- 4) IFRS 4 - Insurance Contracts.
- 5) IFRS 5 - Non-current assets held for sale and Discontinued operations.
- 6) IFRS 6 - Exploration for and Evaluation of Mineral Resources.
- 7) IFRS 7 - Financial Instruments: Disclosures.
- 8) IFRS 8 - Operating Segments.
- 9) IFRS 9 - Financial Instruments.
- 10) IFRS 10 - Consolidated Financial Statements.
- 11) IFRS 11 - Joint Arrangements.
- 12) IFRS 12 - Disclosure of Interests in other Entities.
- 13) IFRS 13 - Fair value Measurement.
- 14) IFRS 14 - Regulatory Deferral Accounts.
- 15) IFRS 15 - Revenue from Contracts with Customers.
- 16) IFRS 16 - Leases.

- 17) IFRS 17 - Insurance Contracts.
- 18) IFRS 18 - Presentation and Disclosure in Financial Statements
- 19) IFRS 19 - Subsidiaries without public Accountability: Disclosures.

IFRS is for SMEs.

Any Country Can become IFRS Compliant
Either by adoption process or by convergence process.

IFRS Compliant.

Technique 1
Adoption

Technique 2.
Convergence.

Features	IFRS	Ind AS	FIAS
Meaning.	It refers to international financial reporting standards issued at global level.	It is India's adoption of IFRS ensuring global alignment	It refers to the accounting standards used in India prior to Ind AS. So it is older set of standards followed by smaller companies.
Developed by.	IASB in 2001	MCA	ICAI
Applicability	Used in many countries	used by listed and large companies in India	used before Ind AS mainly by smaller companies.
Alignment	followed Directly	Based on IFRS with Indian modification. Conveys	not aligned with IFRS
Nature (Principle vs rules).	Principle based	Principle based with indian changes.	more rules based.
Financial statements	Includes balance sheet, Profits / Loss, Cash flow statements, Statement of changes in equity.	Balance sheet, Profit / loss, Cash flow statements, Changes in equity and notes to financial statements	Balance sheet, Profit / loss and Cash flow statements.

Disclosure requirement	Extensive disclosure required.	Similar to IFRS but with some relaxation.	less stringent Disclosure requirement.
Fair value accounting.	widely used	used with indian modifications.	limited used.
Flexibility	High Flexibility	Flexible with indian modifications.	less flexibility.

2.5. IND AS I: Presentation of financial statements.

Provisions Related to final Accounts as per Companies Act, 2013:

1. Financial Statements (Section 129).
2. Approval and Authentication (Section 134)
3. Mandatory Consolidation.
4. Compliance with Accounting standards. (Section 133).
5. Board's Report.

• Fair Presentation under Ind AS:

1. Faithful representation.
2. Consistency.
3. Comparability.
4. Disclosure of judgments.
5. Substance over form.

• Compliance with Ind AS:

- Legal Basis.
- Applicability.
- Compliance Requirements.

• Fair presentation versus Compliance:

1. Recognition and Measurement.
2. Disclosure
3. Schedule III Alignment.
4. Audit oversight.

2.6 Components of financial statements: Fair presentation and Compliance With IND AS :

Aspect	Fair Presentation	Compliance
1) Nature	Fair presentation is Principle-based presentation.	Compliance is based on rules.
2) Objective	It ensures a true and fair view of financial position, performance, and cash flows.	It ensures adherence to prescribed IndAS recognition, measurement and disclosure requirements.
3) Reference Standard	Ind AS 1 (Presentation of financial statements) serves as a reference standard.	All applicable Ind AS and Companies Act, 2013 Schedule III are references for compliance.
4) Focus.	It focuses on quality of reporting viz. faithful representation, neutrality, completeness.	It focuses on legal conformity viz. formats, disclosures, recognition, measurement.
5) Key Features	Substance over form, consistency, comparability, transparent disclosure of judgments are some of the key features.	Prescribed formats, detailed disclosures (e.g., related parties, fair value hierarchy), audit oversight are some of the key features of compliance.

6) Outcome	When the Company follows fair presentation, the outcomes are transparency, Comparability, investor Confidence.	When a Company follows Compliance requirements, it is benefited with regulatory acceptance and can avoid penalties.
7) Risk if lacking.	If Company does not follow fair presentation norms, its financial statements are misleading and it will result in loss of trust.	Risks of non-Compliance are legal Penalties and audit qualifications.

2.7. The Assumptions of financial Reporting - going concern, Accrual basis and Consistency:

- Fundamental Accounting Assumptions.

- 1) Going Concern or Continuity.
- 2) Accrual Basis.
- 3) Consistency.
- 4) Entity Concept.
- 5) Accounting Period.
- 6) Money measurement Concept.
- 7) Historical Cost.
- 8) Conservatism.
- 9) Recognition of revenue (Realization).
- 10) matching Concept.

Qualitative Characteristics of financial reporting :

- 1) Understandability
- 2) Relevance
- 3) Timeliness.
- 4) balance between benefits and costs.
- 5) Reliability.
- 6) Comparability
- 7) Verifiability.
- 8) Applying the enhancing qualitative characteristics.

2.9 ~~2.9~~ Current versus Non-Current Classification.

Aspect	Current	Non-Current
1) Definition of Current / Non-Current Assets.	Current Assets are expected to be realized, sold, or consumed in the normal operating cycle OR within 12 months OR cash / cash equivalents not restricted.	Non-Current Assets are not meeting the definition of current assets. They provide benefits beyond 12 months.
2) Examples (Assets)	Inventories, trade receivables, short-term investments, cash and bank balances.	Property, plant and equipment, intangible assets, long-term investments, deferred tax assets.
3) Definition of current / Non-current Liabilities	Current liabilities are expe expected to be settled in the normal	Non-Current liabilities are obligations not due within 12 months and

operating cycle or due within 12 months or no unconditional right to defer settlement.

their settlement is expected beyond operating cycle.

4) Examples (Liabilities).

Trade payables, short-term borrowings, Current portion of long-term debt, provisions due within 12 months.

Long-term borrowings, lease liabilities (non-current portion), Pension obligations, deferred tax liabilities.

5) Focus.

The focus is on short-term liquidity.

The focus is on long-term solvency and stability.

6) Disclosure.

Shown separately in balance sheet.

Shown separately in balance sheet.